



Why Stocks

Past performance is no guarantee for future performance. There are no guarantees that any asset will thrive in the future because it has in the past. This leaves us with two choices:

1. Keep hard cash with us and save enough during our working years to last our retirement years; or
2. Take some risks and invest the money in assets that have a reasonable chance of increasing in value over time.

Most of us would not choose the first option because most people cannot save enough to support them in retirement especially when inflation continuously erodes the purchasing power of money. This leaves us with the second choice of investing the money in different asset classes. Here is where the problem of choosing investment options comes in. Stocks would be my preferred choice as they increase in value faster than inflation decreases the buying power of money. The best way for us to have money in the future is to make money in the future. So we need to really forget about which asset class will appreciate in the future but rather focus on owning a business that profitably sells products or services. Of course most of us do not have the inclination, the money or the skills to start our own business, so the next best way to share in the profits is through the stock markets.

Stocks represent ownership interest in businesses. When you invest in stocks you become a partial owner of the concern that will hopefully make money in the future. Stock ownership will reward the owners either because the stock prices go up or because the firm's profits will be distributed as dividends. In the short period stocks may rise for reasons having nothing to do with profitability or dividends, as we saw during the Internet era. But over long periods of time it has been proved that stock prices rise in relation to a company's earnings and distribution of profits to shareholders in the form of dividends, bonus shares and rights. Most people may not be able to consistently identify specific companies that will thrive, so they would do well to employ the services of a professional.